

Managing Projects to Achieve Results

Lesson 2





Study Information and Tips



This Study Text replicates the video content for the lesson



Supplementary knowledge can also be found in the information sheets and text boxes that accompany the videos, as well as in the resources in the Insights section



Activities to help you consolidate your knowledge are deliberately delivered through practice questions and exercises found in the Test and Apply sections on the VLE. These help you to further build on your knowledge and apply the learning in a way that supports your assessment



You can use this Study Text to test your understanding of the learning content at the end of each lesson. It may also be helpful to refer to it when preparing for your assessments



We recommend that you also produce your own notes in addition to the Study Text. Research has shown that handwritten notes can be very effective for learning retention



If you decide to print this Study Text, set the layout to print 4 or 6 slides per page to save on paper and ink



The Fundamentals of Project Management

**Organisational
Framework**

**Environmental
Context**

**Project Selection
Methods**



Aligning the Project with Organisational Goals

So far we've learned that projects are defined by the existence of a set timescale and clearly defined outcomes. Project teams form, perform, and disband. But projects aren't executed in a vacuum. The long-term needs of the organisation play an important role in their viability.

Most businesses aim for long-term growth, so a successful project will need to align itself with the organisation's larger goal and strategy.

To do so, a project manager will need to have a clear understanding of the organisation. This applies whether they are managing an internal project or have been brought in as a consultant.



Aligning the Project with Organisational Goals (cont.)

There are four key factors:

- Mission
- Strategy
- Hidden agendas
- Culture and procedures





Mission and Strategy

Mission: This is the organisation's core purpose and philosophy for how to achieve it. A project that is incompatible with a company's mission is unlikely to be approved, unless the fundamental aim of the project is to change the organisation as a whole. Where there are conflicting interests, the existence of a mission statement can help defend the project against objections.

Strategy: This is a long-term plan for how the organisation will define:

- the market in which it operates
- the types of product or service it offers
- the level of investment it makes
- the type of technology it uses



Mission and Strategy (cont.)

Most projects are designed to support the existing strategy and fulfil the mission of the organisation. However, there may be times when the point of the project is to change the very strategy of the organisation itself.

Such a large undertaking may be necessary in response to a radical change in demand for a product – for example, a change in emissions standards that renders a type of car obsolete.



Hidden Agendas & Culture and Procedures

The internal politics, or ‘hidden agendas’ of an organisation can also affect the progress of a project. There may be individuals within the company who for various reasons want the project to fail. They may have doubts about the end result, or view the project as competing for scarce resources, such as staff time. Whilst getting involved in the internal politics of an organisation isn’t recommended, having an awareness of the agendas in play can lead to greater success.

Our final factor is Culture and Procedures. One definition of culture is ‘the way we do things around here.’ In fact every organisation has its own, distinct ideas about how to get things done and procedures to implement these ideas.

You’ll need to find out what these existing procedures are and consider how they can benefit or hinder your project. In doing so, consider how devoted people are to existing systems – their culture – and the lengths they often go to resist change.

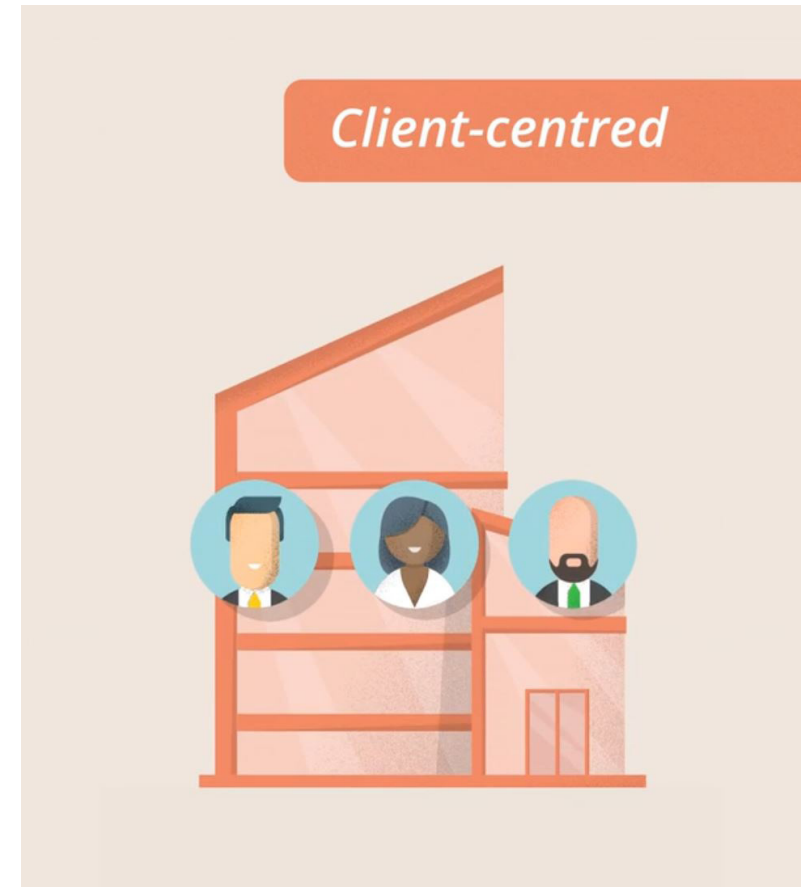


Working With External Project Teams

When the project team is an outside consultant to another company, the organisational framework becomes more complex.

The three most common ways of organising such projects are client-centred, project-focused and matrix.

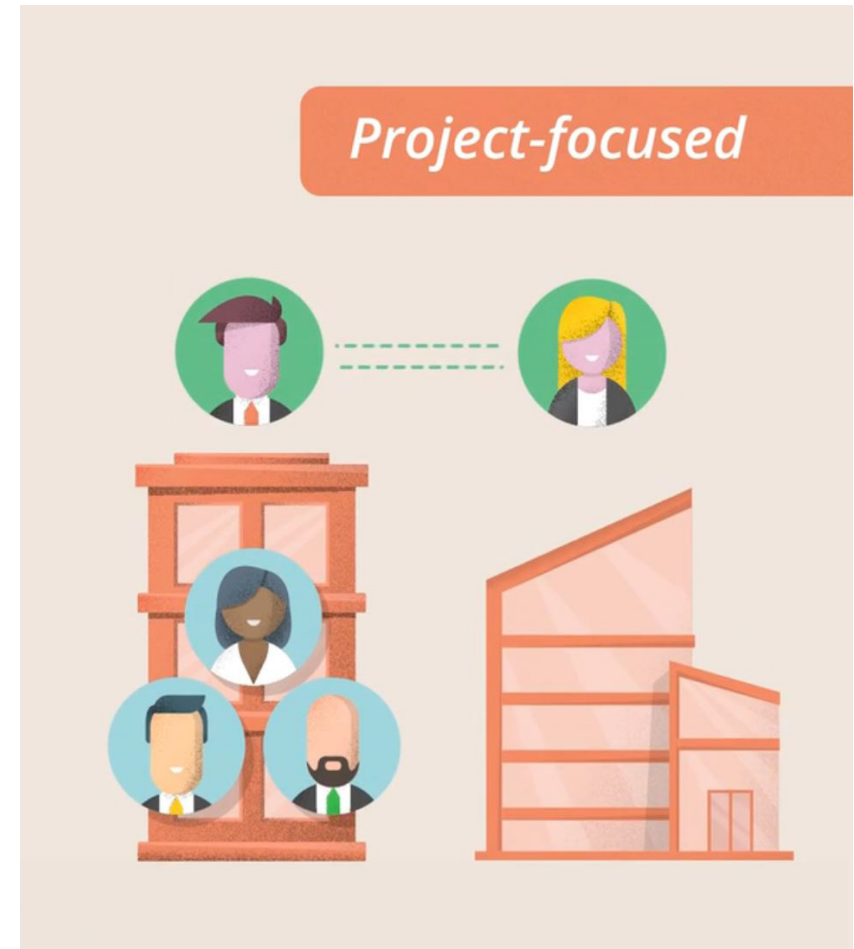
In a client-centred arrangement, the project team is integrated into the client organisation. They may be working on a full or part-time basis, making use of the organisation's personnel, expertise and usually based at the organisation's premises.





Working With External Project Teams (cont.)

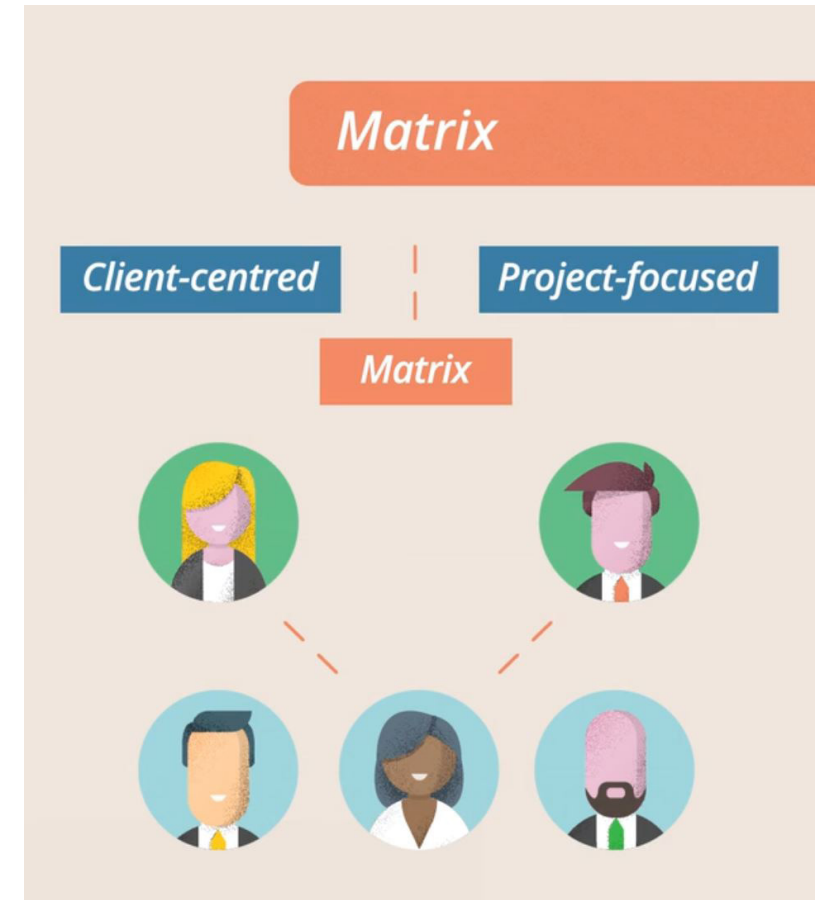
In a project-focused arrangement on the other hand, the project team is separate from the client organisation and has its own resources, staff and premises. Communication takes place via senior management.





Working With External Project Teams (cont.)

A matrix managed project falls somewhere between a client-centered and project-focused approach. Team members report to both a functional manager within the client organisation, and to their project manager.





Stakeholders

A project isn't just influenced by its organisational framework, it's also affected by the external environment, particularly its stakeholders.

Stakeholders are people or organisations that have a vested interest in the outcome of the project. They may be part of the organisation or external to it. Either way it's vital that their interests are considered, and that any decisions affecting those interests are communicated clearly.



Stakeholders (cont.)

For example, in their report on a programme to help poor families in Haiti, researchers Polak & Warwick describe a project that set out to make charcoal from sugarcane waste to provide fuel, jobs and income. The project's technological outcome was a success – a method to make sugarcane charcoal was indeed developed. Unfortunately, it was not competitively priced, and therefore couldn't benefit local buyers. The project was disconnected from stakeholders who might have embraced the technology and made it economically feasible. In other words, it was completed in isolation from a number of critical parties, whose engagement might have otherwise made it a great success.





Identifying Stakeholders

To avoid implementing projects in isolation, you must identify your stakeholders. Internal stakeholders may include:

- The project sponsor, who provides resources for the project
- The project team
- The staff who will benefit – or be adversely affected by – the outcomes of the project
- Staff who share project resources – for example, finance or IT.

External stakeholders may include:

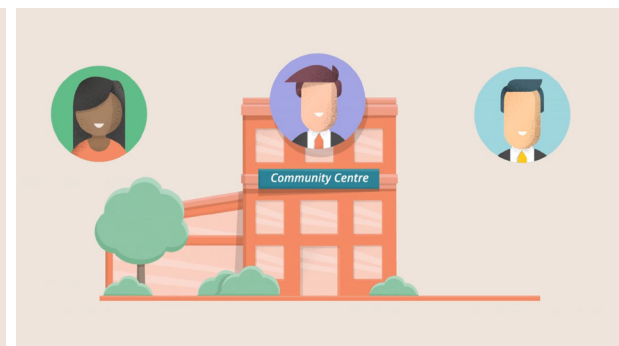
- The general public
- The media
- Shareholders or trustees
- End users of the product or service
- Competitors



Identifying Stakeholders (cont.)

Think of a community centre facing reorganisation. The end user's vision for the centre may be very different from that of the local council; reorganising because of budget cuts. Your job as a project manager is to manage both sets of expectations, and make sure that communication is clear and timely.

The project's team structure can take account of these varying expectations. For example, a team member might be appointed to communicate progress, with a mission to build and maintain stakeholder support.





Assessing External Forces

In addition to stakeholders, there may be a whole range of external influences and demands placed upon a project. The project manager needs to account for as many of these external influences as possible at an early stage.

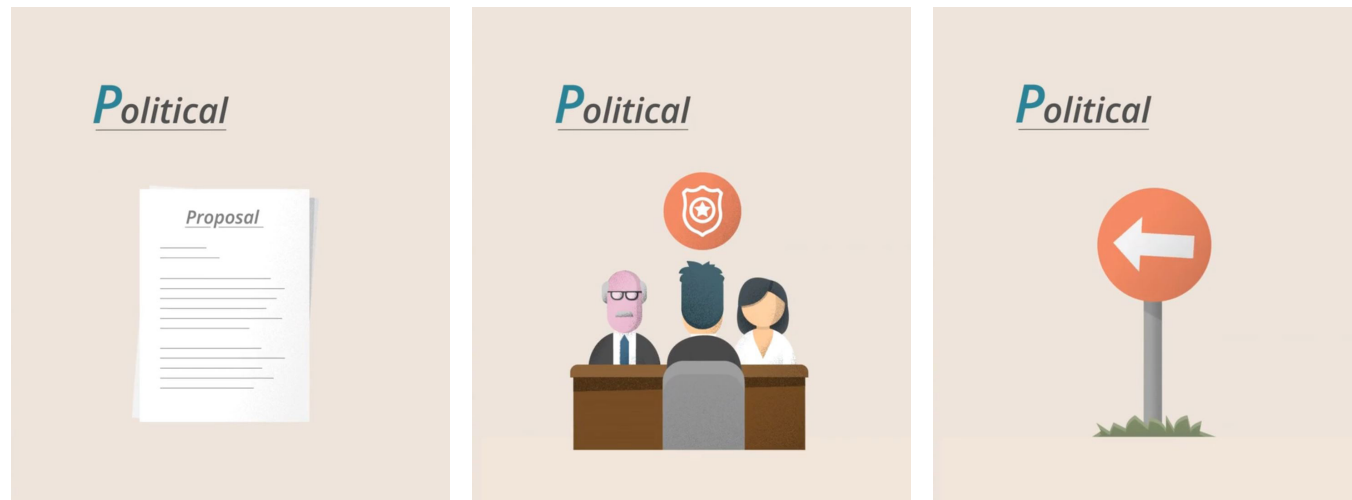
One effective tool for assessing external forces is known by the acronym PESTEL. This stands for: Political, Economic, Social, Technological, Environmental and Legal forces. These social structures have a bearing on both the project and the organisation delivering it.

Political
Economic
Social
Technological
Environmental
Legal



PESTEL

P – The political dimension can be local, national or international – or indeed all three. For example, there may be a proposal to allow for greater involvement by the state in your sector. This may mean a change of course for the project, or more time spent lobbying government in an attempt to protect your organisation's interests.





PESTEL (cont.)

E – Economics is also influential at local, national and international levels. Examples include the availability of labour, a rise or fall in the rate of inflation, changes to interest rates, and the expansion or contraction of the wider economy. All of these can either aid or constrain projects, especially large scale ones. If, for example, the national economy is forecast to grow, a project heretofore on the back burner may be given the go-ahead.

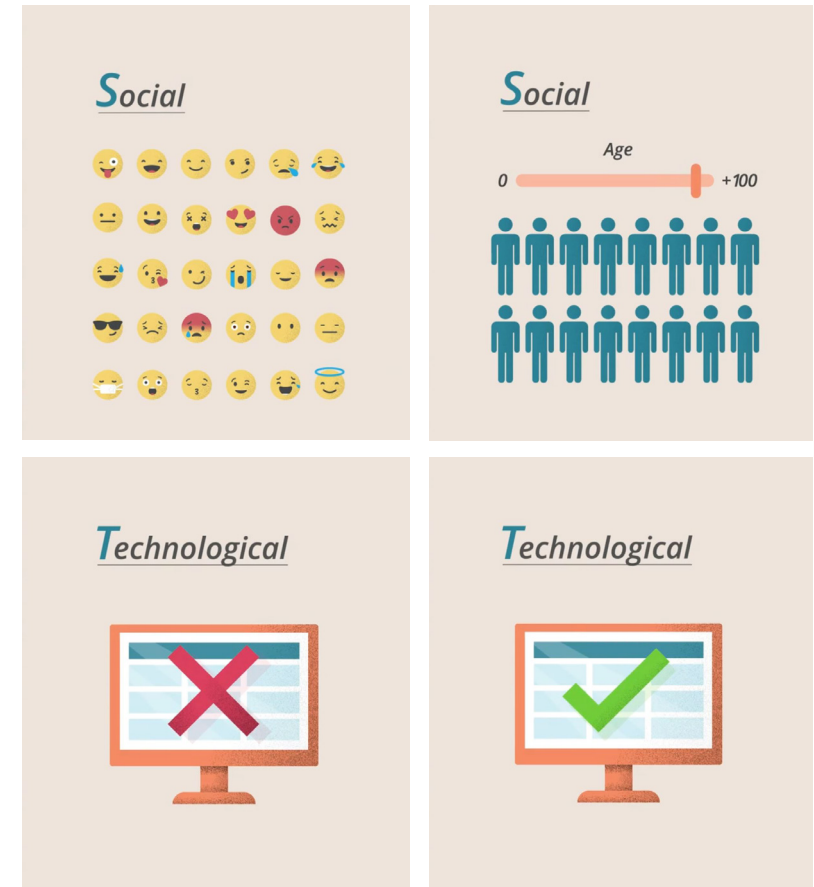




PESTEL (cont.)

S – The social dimension focuses on changes in people's behaviour, their attitudes, and the way the makeup of the population as a whole influences the society in which people live. For example, demographic studies may forecast an ageing population, which could have an impact on the long-term viability of a project.

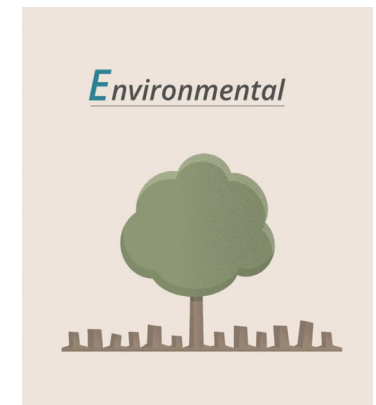
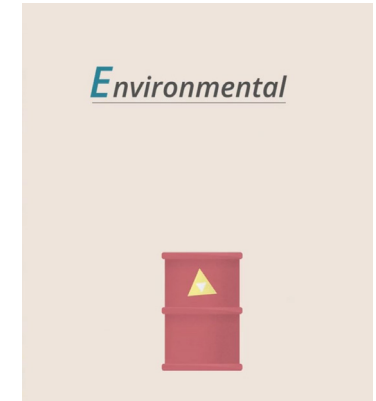
T – New technology can affect the scope of a project in unexpected ways. An advance in computing power might mean that a data-mining project previously written off on cost grounds will now be able to proceed.





PESTEL (cont.)

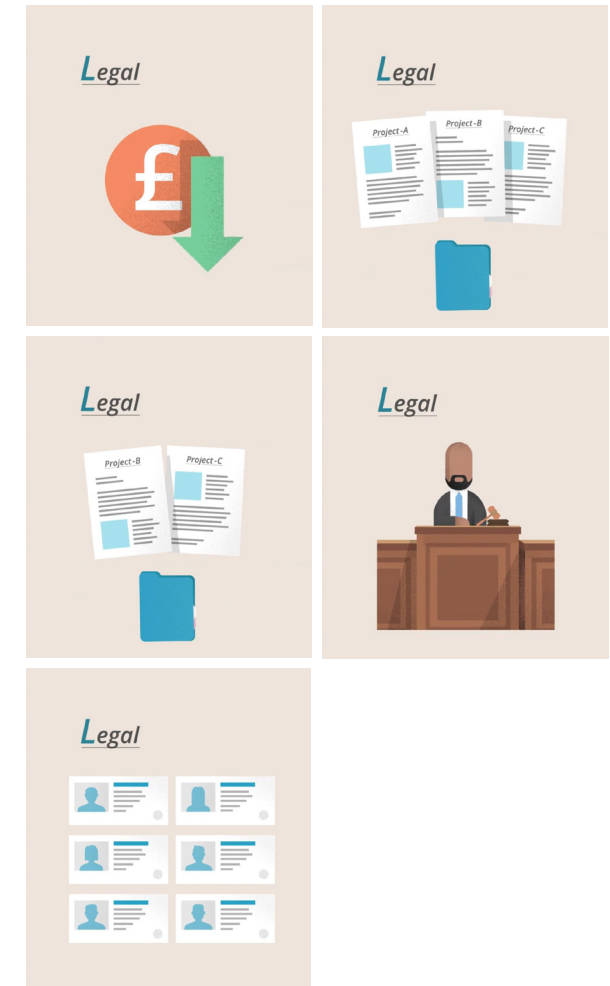
E – Environmental factors have become increasingly important in the last decade and often appear in tandem with government legislation – pollution targets, for example. However, environmental issues may impact every part of a project. Shortages of raw materials, demand for ethically sourced products and sustainability issues may alter the direction or duration of a project.





PESTEL (cont.)

L – Legal changes can also mean changes to the way business is done. Reforming regulation in a certain area might reduce project costs. Or the change might mean that some element of a project is no longer legal and the project itself might need to be reevaluated. Even a minor change might require specialist legal advice. For example, if part of the project requires data collection you will need to do it in accordance with the latest data protection laws.





The External Environment: Your Responsibility

It is not your responsibility to be an expert in the minutiae of these areas, but it is your responsibility to seek appropriate legal advice when you encounter challenges related to them.

So, you can see that the external environment is not only complex, but can unexpectedly impose itself on the smooth running of a project. This is why it needs careful analysis, preferably at the beginning, and why it needs to be revisited from time to time as the project progresses.



Identify the Right Projects for Your Organisation

There are many, sometimes conflicting influences on a project. Choosing to pursue a project can often raise dilemmas for organisations, as a project's importance must be weighed against limited resources and development constraints.

Management expert Dennis Cohen has argued for an entrepreneurial approach to project management, and a focus on the economic returns from projects. He argues that in a successful venture:

“the economic value of a project becomes critical to the success of the business. If the project produces a positive economic value, then it is contributing to shareholder value”.

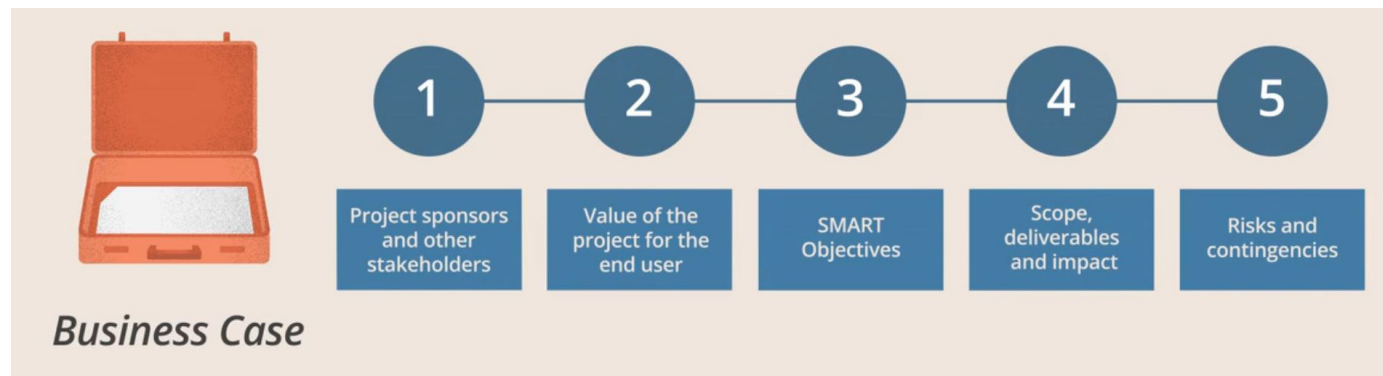
One of the project manager's duties is to identify and manage the right projects for the organisation. In doing so they need to build the 'business case'.



Building the Business Case

Building the business case **requires an analysis of:**

- the needs of project sponsors and other stakeholders
- the value of the project for the end user
- the objectives, which need to be SMART – that is, Specific, Measurable, Achievable, Realistic and Time-related
- the scope, deliverables and impact for the organisation
- the project's risks and contingencies





Building the Business Case (cont.)

Looked at from this angle, the project is a vehicle for producing assets that form the foundation for future cash flows. It should be integrated with the organisation's short and long-term goals but ultimately it must also generate profits.



Rate of Return (ROR), or Return on Investment (ROI)

A traditional metric used in project evaluation is the Rate of Return (ROR), often addressed as the Return on Investment (ROI). This is a performance-based measurement of expected results, and it's used to evaluate the efficiency of a project investment. According to the Cambridge Dictionary of Finance:

“ROI compares the magnitude and timing of gains from investment directly to the magnitude and timing of investment costs”.

A high ROI means that investment gains compare favourably to investment costs. In other words, the resources are well spent. If a project has a high ROI, then the investment should most likely proceed.



Calculating Return on Investment (ROI)

To calculate return on investment, the benefits of an investment in a project are divided by the costs of the project. These estimated costs must include investment in infrastructure, services, materials, and also the direct and indirect costs of your workforce. The calculated ROI can be expressed as a percentage or a ratio. As an equation, it looks like this:

$$\text{Return on Investment} = \frac{\text{Gains from Investment} - \text{Cost of Investment}}{\text{Cost of Investment}}$$



It's important to note that a company may choose to define 'gains' in any suitable way. For example, intangible assets or efficiencies, if quantified, may be used in this formula.



Calculating Return on Investment (ROI) (cont.)

One drawback of ROI is that it says nothing about the likelihood that expected returns and costs will appear as predicted. It simply shows how returns compare to costs if the action or investment brings the expected results.



The Payback Period

Another simple calculation is known as the 'payback period'. This formula is most often used to figure out how quickly an investment will pay for itself – think of a manufacturer investing in a new machine process.

The payback period is calculated as the cost of the project divided by the forecasted annual gains from the project. The ratio of these quantities is the number of years required for the project to repay its initial fixed investment.

For example, let's assume a project costs £20,000 to implement and has annual net cash inflows of £5,000. That means the payback period would be 20,000 divided by 5,000, or 4 years. This method also serves as a basic proxy for risk: the faster the investment is recovered, the less the risk to which the company is exposed.

<i>Project cost:</i>	<i>Annual net cash inflows:</i>
£20,000	£5,000
$20,000 / 5,000 = 4 \text{ years}$	



Net Present Value Calculation (NPV)

However, both the ROI and payback period calculations ignore the complexity of risk and inflation. The value of money does not remain the same – think of how many goods £10 could buy in 1990, and compare this with today. So, the devaluation of capital needs to be incorporated into project analysis, particularly for long term projects.

To do this we can use a Net Present Value calculation, or NPV.

NPV calculates the returns on the project investment by taking into account the cost of capital using a fixed discount rate (r).

$$\text{NPV} = \text{Investment} + \frac{\text{Cashflow Year 1}}{(1+r)^1} + \frac{\text{Cashflow Year 2}}{(1+r)^2} + \dots + \frac{\text{Cashflow Year } t}{(1+r)^t}$$



Net Present Value Calculation (NPV) (cont.)

Let's look at this formula using an example.

Consider a project that will require an investment of £50,000 and will generate cash flows over the next five years, so time – t – equals 5. Let's also assume that the project will have negative cash flows over the first two years: - £15,000, - £5,000 and positive returns in the last three: £12,000, £34,000, and £85,000 respectively. The discount rate in this scenario is 5.5%.

Net Present Value (NPV) Calculation

$$NPV = -50,000 + \frac{-15,000}{(1+0.055)^1} + \frac{-5,000}{(1+0.055)^2} + \frac{12,000}{(1+0.055)^3} + \frac{34,000}{(1+0.055)^4} + \frac{85,000}{(1+0.055)^5}$$

T_0	T_1	T_2	T_3	T_4	T_5
-50,000	-15,000	-5,000	12,000	34,000	85,000

Interest rate = 5.5% (r = 0.055)



Net Present Value Calculation (NPV) (cont.)

Using the equation, we end up with a net present value of £33,990.88. This represents the expected value of our project in today's money.

$$\text{NPV} = -50,000 + \frac{-15,000}{(1+0.055)^1} + \frac{-5,000}{(1+0.055)^2} + \frac{12,000}{(1+0.055)^3} + \frac{34,000}{(1+0.055)^4} + \frac{85,000}{(1+0.055)^5}$$

$$\text{NPV} = \text{£}33,990.88$$



Recap

In this lesson, you have learned about:

- How organisational issues can impact on individual projects
- How internal and external stakeholders will have a vested interest in the project
- How the external environment will create demands on a project and influence its success
- How the selection process can be aided by objective analysis and financial modelling